Franco-Nevada Corporation

2026 Guidance in line with NBCM; Maintain Sector Perform

FNV (TSX; NYSE) C$360.48; US $265.72	STOCK RATING	TARGET	EST. TOTAL RETURN
	Sector Perform (Unchanged)	**C$400.00** (Was C$380.00)	**11.6%**

Q4/2025 Financial Results

We have updated our estimates following FNV's Q4/25 financial results and earnings conference call. See our *First Look Flash* for a detailed review of FNV's quarterly results.

Q4 Beats on Higher Revenues and Lower G&A

FNV reported adj. EBITDA of US$541.2 mln, above NBCM/Consensus Estimates of US$507.0 mln/US$490.0 mln. Adj. EBITDA beat NBCM due to higher sales and lower G&A in the quarter. Adj. EPS of US$1.85 was also above NBCM/ Consensus at US$1.70/US$1.67.

NBCM Remains In Line with 2026 Guidance; Conservative on Long-Term Outlook

FNV announced 2026 GEOs guidance of 510,000-570,000 GEOs (NBCM: 528,803 excl. Cobre Panamá at FNV price deck) with ~90% from precious metal assets and 10% from diversified assets. FNV expects 550,000-615,000 GEOs in 2030 (NBCM: 507,414 GEOs excl. Cobre Panamá at FNV price deck) with the difference from our estimate being more conservative ramp-up assumptions for development staged assets.

Strong Balance Sheet Position

FNV ended Q4/25 with ~US$670.9 mln in cash, US$898.4 mln in working capital, no debt and a fully undrawn US$1.0 bln revolving credit facility plus a US$500 mln accordion feature. FNV has been active in recent months acquiring royalty/streaming deals on Casa Berardi, i-80's Nevada portfolio and Bullabulling. We believe FNV has sufficient liquidity to fund these transaction and future commitments.

Reiterate S/P Rating at a $400.00 Target (was $380.00)

After incorporating Q4/25 results, our estimates are in line with the 2026 guidance and conservative with respect to the long-term outlook. We reiterate our Sector Perform rating, which offsets the company's growth outlook and strong financial position with competitive deal environment for new royalty/ stream origination. We await progress on reopening Cobre Panamá (with possible stream restructuring), which, aside from incremental acquisitions, represents the most significant catalyst for the company's growth outlook.

STOCK DATA

52-Week High and Low ($)	388.22-199.61
Dividend per Share ($)	2.42
Dividend Yield (%)	0.7
Shares Outstanding (Mln)	192.6
Shares Outstanding - FD (Mln)	191.0
Market Capitalization ($Mln)	69,411.4
Net Debt ($Mln)	(670.9)
Enterprise Value ($Mln)	49,602.2

52 week high/low, Dividend and Market Capitalization is in C$

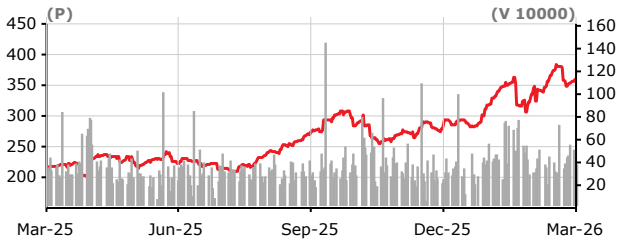
NBCCM ESTIMATES & VALUATION

Fiscal Y/E December	2025A	2026E	2027E
GEO Production (kGEO)	519.1	531.9	589.9
Revenue ($Mln)	1,822.8	2,830.3	3,144.7
EBITDA ($Mln)	1,656.1	2,590.6	2,832.2
Adj. Net Income ($Mln)	1,075.3	1,683.8	1,908.8
Operating CF - Before W/ C ($Mln)	1,524.7	2,106.8	2,323.6
Adj. EPS ($)	5.58	8.74	9.91
CFPS (b/f W/C chgs) ($)	7.91	10.94	12.06
NAVPS (C$)	158.55	158.63	

All figures in US$ unless otherwise noted

Source: NBCM Estimates, Company Reports and LSEG

STOCK PERFORMANCE *(Source: FactSet)*



COMPANY PROFILE

Franco-Nevada Corp. is a precious metals-focused royalty company with interests in gold, PGMs, oil and gas, and base metal assets. The majority of revenues are derived from precious metal royalty properties located in the USA, Mexico, Canada and Australia. In addition, FNV holds a vast pipeline of exploration and development assets, which offer future growth with little to no capital requirement.

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For required disclosures, please refer to the end of the document.

FINANCIAL AND OPERATING SUMMARY: FRANCO-NEVADA CORP.

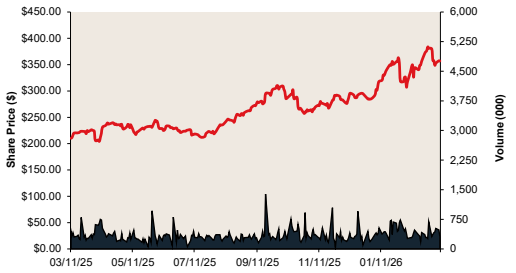
STOCK RATING	**Sector Perform**	**TICKER**	**FNV.TO**
TARGET PRICE (C$)	**$400.00**	**CURRENT PRICE (C$)**	**$360.48**
TOTAL RETURN	**12%**	**52-WEEK HIGH (C$)**	**$388.22**
SECTOR RATING	**Overweight**	**52-WEEK LOW (C$)**	**$199.61**
FISCAL YEAR-END	**December 31**	**SHARES OUTSTANDING (mln)**	**193**
		MARKET CAPITALIZATION (C$ mln)	**$69,411**

MARKET DATA

Capital Structure	Average Strike (C$)	Shares (mln)
Shares Outstanding		192.6
Options	$131.51	0.5
Warrants	$0.00	0.0
Fully Diluted Shares		193.1

Top Ownership	% of Outstanding	Shares (mln)
Fidelity Management & Research Company LLC	9.5%	18.3
MFS Investment Management	5.6%	10.8
The Vanguard Group, Inc.	4.3%	8.2
Van Eck Associates Corporation	3.9%	7.4
Fidelity Investments Canada ULC	2.9%	5.6

STOCK CHART



FINANCIAL DATA

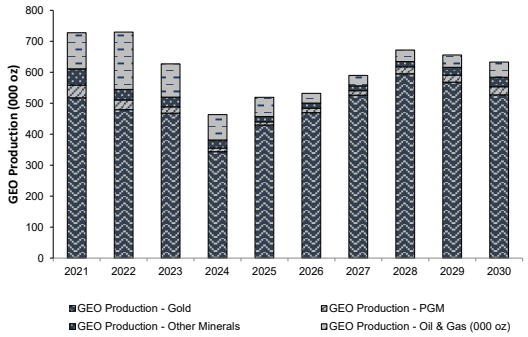
Technical Assumptions	2023A	2024A	2025A	2026E	2027E
Gold (US$/oz)	$1,943	$2,387	$3,441	$5,200	$5,200
Platinum (US$/oz)	$967	$956	$1,296	$2,750	$2,750
Palladium (US$/oz)	$1,340	$984	$1,155	$2,150	$2,150
Silver (US$/oz)	$23.37	$28.26	$40.13	$100.00	$80.00
Copper (US$/lb)	$3.87	$4.20	$4.51	$5.75	$5.50
Oil (US$/bbl)	$97.38	$93.33	$83.61	$78.32	$85.19

Financial Forecasts	2023A	2024A	2025A	2026E	2027E
Balance Sheet (US$ mln)					
Cash & Equivalents	$1,421.9	$1,451.3	$670.9	$2,070.6	$4,044.6
Working Capital	$1,576.1	$1,649.3	$898.4	$2,350.2	$4,390.1
Long-Term Debt	$0.0	$0.0	$0.0	$0.0	$0.0
Income Statement (US$ mln)					
Revenue	$1,176.2	$1,113.6	$1,822.8	$2,830.3	$3,144.7
Operating Costs	$179.3	$129.0	$168.8	$205.7	$278.5
G&A Expense	$24.5	$26.6	$35.3	$34.0	$34.0
EBITDA	$1,014.7	$951.6	$1,656.1	$2,590.6	$2,832.2
DD&A	$273.1	$225.3	$306.7	$571.9	$623.8
Adjusted Net Income	$683.1	$628.1	$1,075.3	$1,683.8	$1,908.8
Cash Flow (US$ mln)					
Operating CF - Before W/C	$985.1	$808.1	$1,524.7	$2,106.8	$2,323.6
Capital Expenditures	($541.1)	($537.3)	($2,033.0)	($316.2)	$49.5
Proceeds from Equity	$2.9	$2.8	$7.7	$0.0	$6.0
Proceeds from Debt	$0.0	$0.0	$0.0	$0.0	$0.0
FCFE	$450.1	$292.2	($539.3)	$1,738.5	$2,307.2
Adjusted EPS (US$)	**$3.56**	**$3.27**	**$5.58**	**$8.74**	**$9.91**
CFPS (US$)	**$5.13**	**$4.20**	**$7.91**	**$10.94**	**$12.06**
Shares Outstanding (mln)	192.0	192.3	192.7	192.6	192.7

Operating CFPS Sensitivity (US$)	2026E	2027E
10% Δ in Gold	7.5%	5.9%
10% Δ in Platinum	0.4%	-0.1%
10% Δ in Palladium	0.3%	-0.2%
10% Δ in Silver	2.0%	2.7%
10% Δ in Oil	0.7%	0.2%

OPERATIONAL DATA

Consolidated Production Profile	2023A	2024A	2025A	2026E	2027E
GEO Production - Gold & Silver (000 oz)	468.1	343.7	430.0	469.7	526.0
GEO Production - PGM (000 oz)	20.0	11.6	10.2	14.5	14.5
GEO Production - Other Minerals (000 oz)	31.4	25.9	16.5	16.2	16.0
GEO Production - Oil & Gas (000 oz)	107.5	82.2	62.5	31.4	33.3
GEO Production - Total (000 oz)	**627.0**	**463.3**	**519.1**	**531.9**	**589.9**



NAV SUMMARY AND SENSITIVITY

	Base Case (US$ mln)	Spot (US$ mln)
Gold - United States; After-Tax (5%)	$1,712	$2,497
Gold - Canada; After-Tax (5%)	$3,217	$4,648
Gold - Rest of World; After-Tax (5%)	$1,860	$2,493
Gold - Latin America; After-Tax (5%)	$9,514	$14,434
PGM; After-Tax (5%)	$378	$460
Other Minerals; After-Tax (6%)	$931	$1,021
Oil & Gas; After-Tax (5%)	$1,088	$1,388
Ongoing Working Interest Requirements; After-Tax (10%	($19)	($19)
Project NAV	**$18,682**	**$26,924**
Corporate Adjustments; After-Tax (10%)	($237)	($237)
Working Capital	$916	$903
Cash from Dilution	$52	$52
Long-Term Debt	$0	$0
Add Back Dividends	$0	$0
Other Adjustments	$3,485	$3,485
Corporate NAV	**$22,897**	**$31,126**
Project NAVPS (C$)	**$128.60**	**$186.86**
Corporate NAVPS (C$)	**$158.63**	**$219.68**
Current Price/Corporate NAVPS	2.27x	1.64x
Target Price/Corporate NAVPS	2.52x	1.82x
2025E CFPS (US$)	**$7.91**	**$7.91**
2026E CFPS (US$)	**$10.94**	**$10.78**
EV/2025E CFPS	32.5x	32.6x
EV/2026E CFPS	23.5x	23.9x

CONSENSUS ESTIMATE SUMMARY

	EPS (US$)			CFPS (US$)		
	Mean	High	Low	Mean	High	Low
Consensus 2025E	$5.40	$5.47	$5.31	$7.58	$8.06	$6.21
Consensus 2026E	$8.46	$10.13	$7.62	$9.97	$12.67	$6.32

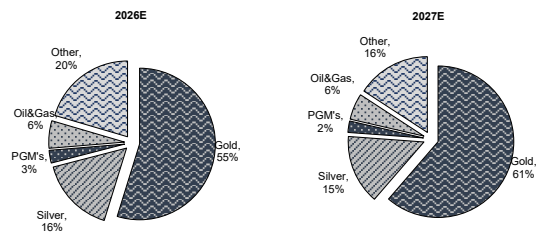
	Δ EPS	Δ CFPS		
NBCM vs. Consensus 2025	$0.18	$0.34	NBCM/Consensus Target:	12%
NBCM vs. Consensus 2026	$0.28	$0.96	Number of Analysts:	15
			Consensus Target:	**$357.31**

COMPARABLE COMPANIES*

	Ticker	Price	EV/CF		NAVPS	P/NAV
		($)	2026E	2027E	($)	(x)
OR Royalties	OR.TO	$58.34	19.3x	18.7x	$40.12	1.45x
Royal Gold	RGLD.O	US$275.84	17.0x	17.3x	$145.27	1.90x
Triple Flag	TFPM.TO	$51.87	17.3x	18.5x	30.7	1.69x
Wheaton Precious Metals	WPM.TO	$202.06	19.0x	20.3x	77.2	2.62x
Gold Royalty Corp.	GROY.K	US$4.21	34.5x	20.1x	$4.36	0.97x
Average			**21.4x**	**19.0x**		**1.73x**
Franco-Nevada	**FNV.TO**	**$360.48**	**23.8x**	**21.7x**	**$158.63**	**2.27x**

**Based on NBCM Estimates*

REVENUE BY SOURCE



Source: NBCM Estimates, LSEG, Company Data

Q4 Financial Results Overview

We have updated our estimates to incorporate Franco-Nevada's reported Q4 financial results, including Adj. EBITDA of US$541.2 mln, which was above NBCM Estimates/Consensus of US$507.0 mln/US$490.0 mln. The beat was driven by higher revenues and lower G&A.

Revenue of US$597.3 mln was above NBCM Estimates of US$568.3 mln, on higher production of 141,656 GEOs (NBCM: 134,870 GEOs). For 2025, FNV achieved 519,106 GEOs compared to guidance of 495,000–525,000 GEOs

Adj. EPS of US$1.85 was also above NBCM/Consensus at US$1.70/US$1.67.

See Figure 1 for a summary of NBCM forecasts.

Figure 1: Summary of NBCM Estimates

			Q3/25A	Q4/25A	Q1/26E	Q2/26E	Q3/26E	2024A	2025A	2026E	2027E	2028E
Gold Equivalent Production	**kGEO**	**new**	**138.8**	**141.7**	**131.6**	**133.0**	**133.7**	**463.3**	**519.1**	**531.9**	**589.9**	**672.0**
		old	-	134.9	140.6	141.7	139.5	-	512.3	561.1	581.5	657.1
Cost of Sales	**US$ mln**	**new**	**$47**	**$50**	**$50**	**$51**	**$53**	**$129**	**$169**	**$206**	**$278**	**$275**
		old	-	$50	$67	$68	$67	-	$169	$268	$297	$285
EBITDA	**US$ mln**	**new**	**$427**	**$541**	**$635**	**$651**	**$653**	**$952**	**$1,656**	**$2,591**	**$2,832**	**$2,788**
		old	-	$507	$665	$679	$669	-	$1,622	$2,683	$2,770	$2,710
Adjusted EPS	**US$/share**	**new**	**$1.43**	**$1.85**	**$2.12**	**$2.17**	**$2.21**	**$3.27**	**$5.58**	**$8.74**	**$9.91**	**$10.26**
		old	-	$1.70	$2.31	$2.43	$2.48	-	$5.43	$9.81	$11.78	$13.75
CFPS	**US$/share**	**new**	**$2.04**	**$2.16**	**$2.68**	**$2.75**	**$2.76**	**$4.20**	**$7.91**	**$10.94**	**$12.06**	**$11.93**
		old	-	$2.19	$2.77	$2.82	$2.75	-	$7.94	$11.06	$11.03	$10.28
Total Capex	**US$ mln**	**new**	**$292**	**$35**	**$386**	**$28**	**$10**	**$408**	**$2,197**	**$464**	**$68**	**$59**
		old	-	$5	$105	$28	$5	-	$2,166	$142	$19	$116
Free Cash Flow	**US$ mln**	**new**	**$140**	**$491**	**$56**	**$640**	**$535**	**$292**	**-$539**	**$1,738**	**$2,307**	**$2,505**
		old	-	$385	$385	$554	$601	-	-$645	$2,156	$2,713	$3,119

Source: NBCM Estimates, Company Reports

NBCM In Line With 2026 Guidance; Conservative Compared to Five-Year Outlook

- FNV announced 2026 GEOs guidance of 510,000–570,000 GEOs (NBCM: 528,803 excl. Cobre Panamá at FNV price deck) with ~90% from precious metal assets and 10% from diversified assets.
- 2026 guidance assumes increase in precious metal GEOs driven by first full year of contribution from Côté Gold, Porcupine and Valentine Gold, the continued ramp-up of Salares Norte and Greenstone, and the recent acquisitions of the Casa Berardi stream and i-80 royalty. Guidance does not assume any contributions from Cobre Panamá.
- FNV expects 550,000–615,000 GEOs in 2030 (NBCM: 507,414 GEOs excl. Cobre Panamá at FNV price deck) with the assumption of start of production at Cascabel, Copper World, Eskay Creek, Stibnite Gold and Rebecca-Roe. It also reflects planned expansions at Detour Lake, Magino and Castle Mountain Phase 2, and the development of the Coroccohuayco project at Antapaccay. These are expected to be partly offset by the step-down at Candelaria and Antapaccay, and a decrease in production at Subika. We remain conservative on ramp-up of a few growth assets within the portfolio and continue to model first GEOs from Cascabel in 2032 as well as the announced partial buyback of the royalty interest.
- 2030 guidance also does not assume any contribution from Cobre Panamá; however, FNV highlighted that if production restarts and based on the average of the next five years mine plan, the stream has the potential to contribute 150,000–175,000 GEOs. We model ~127,000 GEOs from the asset in 2030.

Assets Update

Cobre Panama (16% of NAV)

- FNV highlighted Panama is expected to authorize the removal, processing and export of stockpiled ore (~38.0 mln tonnes) that was previously extracted, and it is expected that processing of stockpiles could lead to a production of 23,100 oz of gold and 265,000 oz of silver with initial deliveries ~3 months from official regulatory notice to proceed and would require ~1 year to process the stockpile. These stockpiles are currently excluded from our Base Case assumptions.

Antamina (7% of NAV)

- For 2026, FNV expects an increase in silver ounces to between 3.5-3.7 mln gold oz (NBCM: 3.6 mln oz), compared to 3.2 mln silver ounces sold in 2025, due to mine sequencing and anticipated higher silver grades.
- We model 54,819 GEOS for 2026 up from 39,151 GEOs in 2025.

Antapaccay (5% of NAV)

- For 2026, FNV expects GEOs sold to decrease from 45,145 GEOs in 2025 to between 30,000 and 40,000 GEOs (NBCM: 35,233 GEOs) based on mine sequencing.

Bullabulling Gold Project (1% of NAV)

- FNV announced that it will acquire a *gross revenue royalty* on Bullabulling Gold Project. FNV effectively owns 2.45% gross royalty over a Bullabulling land package. Assuming the full resource is mined over a period of ~15 years beginning in 2029, we calculated an after-tax IRR of ~10% at current gold prices.
- We have incorporated the project in our Base Case and now model first GEOs in Q1/29 for a total of 4,630 GEOs.

NSR on i-80's Nevada Portfolio (1% of NAV)

- FNV announced that it has entered into an agreement to acquire an *NSR across i-80 Gold Corp's* (IAU: TSX; Rating: Outperform; Price Target: $3.75; Analyst: DeMarco) portfolio of assets in Nevada. The royalty rate will initially be 1.5%, increasing to 3.0% in 2031 and will apply to all of i-80 Gold's properties including their six projects in various stages of development. We estimated an IRR of 14% at spot prices based on IAU's LOM plan (which excludes development of the Lone Tree deposit).
- We have now included this acquisition in our Base Case and expect 681 GEOs in 2026 increasing to 4,693 GEOs in 2030.

Casa Berardi and Heva-Hosco

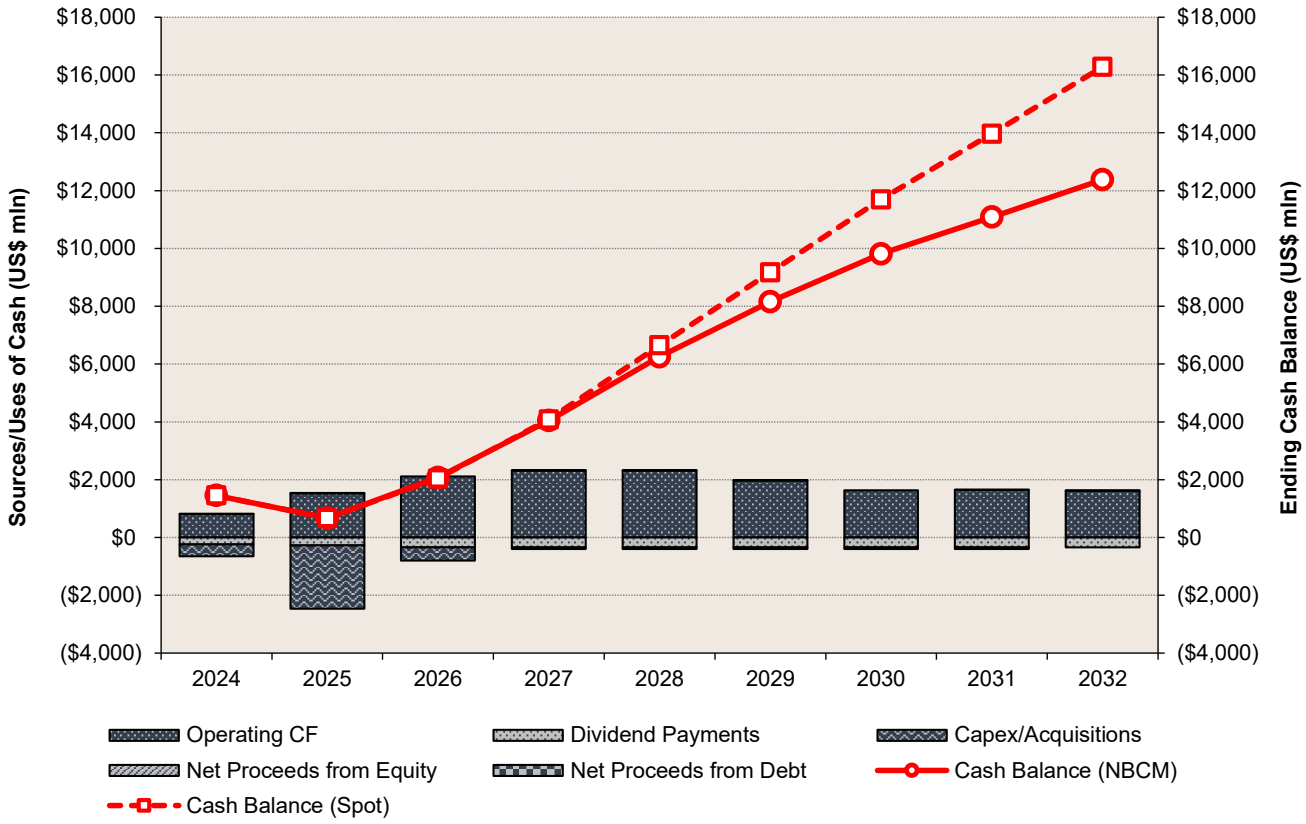
- FNV entered into a gold stream agreement with Orezone Gold Corp (ORE: TSX, Not Rated) to fund its acquisition of Hecla Mining's (HL: NYSE; Price Target: US$28.00; Rating: Sector Perform; Analyst: Terentiew) producing Casa Berardi Gold Mine and all other Quebec assets, including the Heva-Hosco Gold Project.
- We expect 6,500 GEOs for 2026 and 2027, respectively.

Balance Sheet Remains in Net Cash Position; Sufficient Liquidity to Fund Recent Acquisitions

- Franco-Nevada ended Q4/25 with ~US$670.9 mln in cash, US$898.4 mln in working capital, no debt and a fully undrawn US$1.0 bln revolving credit facility plus a US$500 mln accordion feature.
- In February 2026, FNV was notified that operator Jiangxi Copper Company Ltd. exercised the option to buy back 50% of the Cascabel stream NSR. Franco-Nevada expects to receive the equivalent of ~US$40.7 mln (net of the ongoing payment) as a one-time delivery of gold ounces for the 50% buyback of the Cascabel stream, and ~US$97.5 mln in cash for the 50% buyback of the NSR.
    - The Cascabel stream will be reduced to 7.0% of gold produced (stepping down to 4.2% after 262,500 ounces of gold have been delivered), and the NSR will be reduced to 0.5% on all minerals produced, subject to adjustments based on the production rate.

- FNV announced an increase of ~16% in its quarterly dividend to US$0.44/share from US$0.38/share.
- Our Base Case incorporates US$754.9 mln in future funding commitments for mineral royalties and stream, including, US$239 mln for Cascabel, (incl US$11.6 mln in 2026 and remaining spread over four years starting in 2028), US$100 mln for Casa Berardi stream, US$250.0 mln for NSR on i-80's portfolio, US$117 mln for Bullabulling project, as well as ~US$27.4 mln annually for oil and gas investments.

Figure 2: Sources & Uses of Cash



Source: NBCM Estimates, Company Reports

Reiterating Sector Perform Rating at an increased $400.00 Price Target (was $380.00)

We have incorporated Q4/25 financial results, included recent acquisitions in our Base Case and adjusted our production profile to account for public disclosure on mining assets within FNV's portfolio.

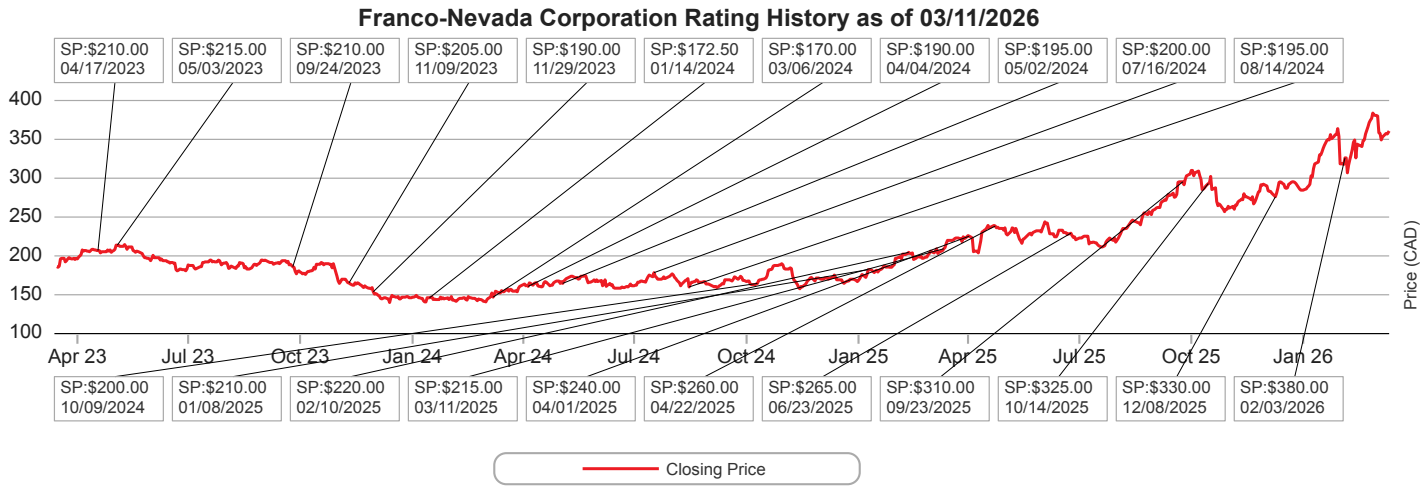
Our Sector Perform rating weighs the company's growth outlook (which has benefited from recent acquisitions and initial production from a number of mines), as well as Franco-Nevada's strong financial position with what we believe to be a more challenging acquisition environment. Progress on reopening Cobre Panamá in the coming months could provide more certainty on the company's long-term growth outlook.

While at elevated gold prices, we continue to see potential for lower cut-off grades throughout the industry and higher expansion/ development/exploration budgets to support higher production rates/ mine-life extensions improving optionality within FNV's royalty business model. We await progress updates on reopening Cobre Panamá, which, aside from incremental acquisitions, represents the most significant catalyst for the company's near-term growth outlook.

Our target is based on an unchanged multiple of 2.40x NAV (33%) + 28.0x EV/2026E CF (33%) + 28.0x EV/2027E CF (33%). FNV is trading at 2.27x NAV compared to large-cap royalty peers WPM at 2.62x and RGLD at 1.90x.

Disclosures

PRICE, RATING AND TARGET HISTORY:I = Initiation, OP = Outperform, SP = Sector Perform, UP = Underperform, UR = Under Review, R = Restricted; T = Tender (Source: Factset, NBCM)



RISKS:

Tax/Regulatory: As a royalty and streaming company, Franco-Nevada is subject to various tax and regulatory risks. Streaming income earned by foreign subsidiaries may be subject to revisions in either domestic or foreign laws governing taxation/transfer pricing.

Non-Operator: By not operating the assets within its royalty portfolio, many of which are located in Brazil, Mexico and the United States, Franco-Nevada does not directly control the production or development of each asset and delays in the forecasted production schedule could negatively impact revenue and indirectly impact the valuation of the company.

Commodity Risk: By purchasing streaming and royalty interests, Franco-Nevada's cash flow is levered to fluctuations in commodity prices, primarily gold as well as silver, PGMs and oil.

ADDITIONAL COMPANY RELATED DISCLOSURES

Franco-Nevada Corporation
Gold Royalty Corp. 2, 3, 4, 7
Hecla Mining Company
OR Royalties Inc.
Royal Gold Inc.
Triple Flag Precious Metals Corp.
Wheaton Precious Metals Corp.
i-80 Gold Corp. 6

LEGEND FOR COMPANY RELATED DISCLOSURES:

2. NBF has provided investment banking services for this issuer within the past 12 months.
3. NBF or an affiliate has managed or co-managed a public offering of securities with respect to this issuer within the past 12 months.
4. NBF or an affiliate has received compensation for investment banking services from this issuer in the past 12 months.
5. The research analyst responsible for the report received compensation within the prior 12 months that was based upon NBF's investment banking revenues.
6. NBF or an affiliate has a non-investment banking services related relationship during the past 12 months.
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